

This is a codebook for the country year panel dataset employed to run the models and create the figures used in “The Fiscal Roots of Financial Underdevelopment,” as well as some of the models and figures in the supplementary appendix. Below, I list each variable name, define and describe it, and list its sources, if any.

ccodecow: this is the Correlates of War country identifier

wbcode: this is the World Bank country identifier

wbcodeMEN: this is a version of the World Bank country identifier that is a number instead of 3 letter country name abbreviation. It is used to declare the data a panel dataset

year: this is the year

credittogovtstateenterp: Credit by domestic money banks to the government and state-owned enterprises as a percentage of GDP. Source:

Beck, T., A. Demirgüç-Kunt, R. E. Levine, M. Cihak, and E. H. B. Feyen. “Financial Development and Structure Dataset (updated Nov. 2013).” Washington, D.C.: World Bank. <http://econ.worldbank.org/WBSITE/EXTERNAL/EXTDEC/EXTRESEARCH/0,,contentMDK:20696167~pagePK:64214825~piPK:64214943~theSitePK:469382,00.html>

Henceforth: Beck, Demirgüç-Kunt and Levine (2013). "Financial Structure and Development Dataset."

netinterestmargin: The accounting value of banks’ net interest revenue as a share of their interest-bearing assets: $((\text{Interest Returns} - \text{Interest Expenses}) / \text{Total Earning Assets})$. Source: Beck, Demirgüç-Kunt and Levine (2013). "Financial Structure and Development Dataset."

returnassets: Commercial banks’ net income to yearly averaged total assets. Source: Beck, Demirgüç-Kunt and Levine (2013). "Financial Structure and Development Dataset."

overheadcosts: Accounting value of banks’ overhead costs as a share of their interest-bearing assets: $(\text{Overhead Costs} / \text{Total Earning Assets})$. Source: Beck, Demirgüç-Kunt and Levine (2013). "Financial Structure and Development Dataset."

llgdp: Liquid liabilities as a percent of GDP. Source: Beck, Demirgüç-Kunt and Levine (2013). "Financial Structure and Development Dataset."

privatecredit: The credit made available by deposit taking banks is operationalized as a percentage of GDP. Source: Beck, Demirgüç-Kunt and Levine (2013). "Financial Structure and Development Dataset."

marketpower: This is the Lerner Index. This is a measure of market power in the banking market that compares output pricing and marginal costs—namely, the markup. Source: Beck, Demirgüç-Kunt and Levine (2013). "Financial Structure and Development Dataset."

final_totaltax_gdp_ratio: Total taxation from direct and indirect sources. Namely, taxes on income, profits and capital gains; payroll and workforce; property; goods and services; international trade/transactions; and other taxes. Sources: for GDP, the denominator, it is the World Bank Development Indicators: World Bank Group, World Development Indicators 2012. Washington, D.C.: World Bank Publications
<http://data.worldbank.org/data-catalog/world-development-indicators>

Henceforth WBDI

The sources for total taxation, the numerator, vary by country. The general sources used are:

- A. The International Monetary Fund (IMF). Various years. Government Finance Statistics Yearbook (GSFY). Washington, D.C.: IMF Statistics Department. Henceforth: GFSY hardcover edition.
- B. The International Monetary Fund (IMF). 2009. Government Finance Statistics Yearbook, CD-ROM edition (1972 to 1989). Washington, D.C.: IMF Statistics Department. Henceforth: IMF GFSY CD
- C. The International Monetary Fund (IMF). 2011. Government Finance Statistics Yearbook, online edition. Washington, D.C.: IMF Statistics Department. Henceforth: IMF GFSY Online Version
<http://data.imf.org/?sk=FA66D646-6438-4A65-85E5-C6C4116C4416>
- D. Easterly, William, and Mirvat Sewadeh. 2001. The Global Development Network Growth Database (Government Finance Series). Washington, D.C.: World Bank's Economic and Development Research Group.
<http://www.nyudri.org/resources/global-development-network-growth-database/>

Henceforth: Global Development Network Growth Database

- E. The WBDI.
- F. Organization for Economic Cooperation and Development (OECD). 2010. Factbook 2010: economic, environmental and social statistics. Paris, France: OECD.
http://www.oecd-ilibrary.org/economics/oecd-factbook_18147364

Henceforth: OECD

- G. Economist Intelligence Unit (EIU). Various Years. EIU Country Reports. London: EIU
<https://store.eiu.com/Product.aspx?pid=50000205>

Henceforth: EIU Country Report

- H. IMF Staff Country Reports. Various and various years. Washington, D.C.: IMF

Henceforth: IMF Staff Country Report

The sources used for each country are listed below:

Afghanistan	IMF GFSY CD and Online Version
Albania	IMF GFSY CD and Online Version
Algeria	Statistical Yearbook of Algeria and IMF Online Version
Angola	EIU Country Report, IMF Staff Country Report and IMF Online Version
Argentina	IMF GFSY CD and Online Version
Armenia	IMF GFSY CD and Online Version
Australia	OECD
Austria	OECD
Azerbaijan	IMF GFSY CD and IMF Online Version
Bahrain	IMF GFSY CD and IMF Online Version
Bangladesh	IMF GFSY CD and IMF Online Version
Belarus	IMF GFSY CD and IMF Online Version
Belgium	OECD
Benin	IMF GFSY CD and IMF Online Version
Bhutan	IMF GFSY CD and IMF Online Version
Bolivia	IMF GFSY CD and IMF Online Version
Bosnia and Herzegovina	IMF GFSY CD and IMF Online Version
Botswana	IMF GFSY CD and IMF Online Version
Brazil	IMF GFSY CD and IMF Online Version
Bulgaria	IMF GFSY CD and IMF Online Version
Burkina Faso	Global Development Network Growth Database and IMF Online Version
Burundi	IMF GFSY CD and IMF Online Version
Cambodia	IMF GFSY CD and IMF Online Version
Cameroon	IMF GFSY CD and IMF Online Version
Canada	OECD
Central African Republic	IMF GFSY CD and IMF Online Version
Chad	Global Development Network Growth Database and IMF Online Version
Chile	IMF GFSY CD and IMF Online Version
China	IMF GFSY CD and IMF Online Version
Colombia	IMF GFSY CD and IMF Online Version
Comoros	IMF GFSY CD and IMF Online Version
Congo	Global Development Network Growth Database and IMF Online Version
Congo, Democratic Republic	Global Development Network Growth Database and IMF Online Version
Costa Rica	IMF GFSY CD and IMF Online Version
Cote d'Ivoire	Global Development Network Growth Database and IMF Online Version
Croatia	IMF GFSY CD and IMF Online Version
Cuba	IMF GFSY CD and IMF Online Version
Cyprus	IMF GFSY CD and IMF Online Version
Czech Republic	OECD

Czechoslovakia	Global Development Network Growth Database
Denmark	OECD
Djibouti	Global Development Network Growth Database and IMF Online Version
Dominican Republic	IMF GFSY CD and IMF Online Version
Ecuador	Ministerio de Finanzas de Ecuador
Egypt	IMF GFSY CD and IMF Online Version
El Salvador	IMF GFSY CD and IMF Online Version
Equatorial Guinea	IMF GFSY CD and Republic of Equatorial Guinea Statistical Appendix
Eritrea	IMF GFSY CD and IMF Online Version
Estonia	IMF GFSY CD and IMF Online Version
Ethiopia	Global Development Network Growth Database and IMF Online Version
Fiji	IMF GFSY CD and IMF Online Version
Finland	OECD
France	OECD
Gabon	Global Development Network Growth Database and IMF Online Version
Gambia	IMF GFSY CD and IMF Online Version
Georgia	IMF GFSY CD and IMF Online Version
Germany	OECD
Ghana	IMF GFSY CD and IMF Online Version
Greece	IMF GFSY CD and IMF Online Version
Guatemala	IMF GFSY CD and IMF Online Version
Guinea	IMF GFSY CD and IMF Online Version
Guinea-Bissau	IMF GFSY CD and IMF Online Version
Guyana	IMF GFSY CD and IMF Online Version
Haiti	IMF GFSY CD and IMF Online Version
Honduras	IMF GFSY CD and IMF Online Version
Hungary	IMF GFSY CD and IMF Online Version
India	IMF GFSY CD and IMF Online Version
Indonesia	IMF GFSY CD, Indonesian Financial Statistics and IMF Online Version
Iran	IMF GFSY CD and IMF Online Version
Iraq	IMF GFSY CD and IMF Online Version
Ireland	IMF GFSY CD and IMF Online Version
Israel	IMF GFSY CD and IMF Online Version
Italy	OECD
Jamaica	IMF GFSY CD and IMF Online Version
Japan	OECD
Jordan	IMF GFSY CD and IMF Online Version
Kazakhstan	IMF GFSY CD and IMF Online Version
Kenya	IMF GFSY CD and IMF Online Version
Korea, North	IMF GFSY CD and IMF Online Version
Korea, South	OECD
Kuwait	IMF GFSY CD and IMF Online Version
Kyrgyzstan	IMF GFSY CD and IMF Online Version
Laos	IMF GFSY CD and IMF Online Version
Latvia	IMF GFSY CD and IMF Online Version
Lebanon	IMF GFSY CD and IMF Online Version

Lesotho	Global Development Network Growth Database and IMF Online Version
Liberia	IMF GFSY CD and IMF Online Version
Libya	IMF GFSY CD and IMF Online Version
Lithuania	IMF GFSY CD and IMF Online Version
Macedonia	IMF GFSY CD and IMF Online Version
Madagascar	IMF GFSY CD and IMF Online Version
Malawi	IMF GFSY CD and IMF Online Version
Malaysia	IMF GFSY CD and IMF Online Version
Mali	IMF GFSY CD and IMF Online Version
Mauritania	Global Development Network Growth Database and IMF Online Version
Mauritius	Global Development Network Growth Database and IMF Online Version
Mexico	Instituto Nacional de Estadística y Geografía
Moldova	IMF GFSY CD and IMF Online Version
Mongolia	IMF GFSY CD and IMF Online Version
Morocco	IMF GFSY CD and IMF Online Version
Mozambique	IMF GFSY CD and IMF Online Version
Myanmar	IMF GFSY CD and IMF Online Version
Namibia	IMF GFSY CD and IMF Online Version
Nepal	IMF GFSY CD and IMF Online Version
Netherlands	OECD
New Zealand	OECD
Nicaragua	IMF GFSY CD and IMF Online Version
Niger	IMF GFSY CD and IMF Online Version
Nigeria	IMF GFSY Hardcover Version, Global Development Network Growth D.B.
Norway	OECD
Oman	IMF GFSY CD and IMF Online Version
Pakistan (-1971)	IMF GFSY CD and IMF Online Version
Panama	IMF GFSY CD and IMF Online Version
Papua New Guinea	IMF GFSY CD and IMF Online Version
Paraguay	IMF GFSY CD and IMF Online Version
Peru	IMF GFSY CD and IMF Online Version
Philippines	IMF GFSY CD and IMF Online Version
Poland	Global Development Network Growth Database and OECD
Portugal	OECD
Qatar	IMF GFSY CD and IMF Online Version
Romania	IMF GFSY CD and IMF Online Version
Russia	Global Development Network Growth Database and IMF Online Version
Rwanda	IMF GFSY CD and IMF Online Version
Saudi Arabia	IMF GFSY CD and IMF Online Version
Senegal	IMF GFSY CD and IMF Online Version
Serbia RB	IMF GFSY CD and IMF Online Version
Sierra Leone	IMF GFSY CD and IMF Online Version
Singapore	IMF GFSY CD and IMF Online Version
Slovakia	IMF GFSY CD and IMF Online Version
Slovenia	IMF GFSY CD and IMF Online Version
Solomon Islands	IMF GFSY CD and IMF Online Version

Somalia	IMF GFSY CD and IMF Online Version
South Africa	IMF GFSY CD and IMF Online Version
Spain	OECD
Sri Lanka	IMF GFSY CD and IMF Online Version
Sudan	IMF GFSY CD and IMF Online Version
Suriname	Global Development Network Growth Database and IMF Online Version
Swaziland	IMF GFSY CD and IMF Online Version
Sweden	OECD
Switzerland	OECD
Syria	IMF GFSY CD and IMF Online Version
Taiwan	IMF GFSY CD and IMF Online Version
Tajikistan	IMF GFSY CD and IMF Online Version
Tanzania	Global Development Network Growth Database and IMF Online Version
Thailand	IMF GFSY CD and IMF Online Version
Timor-Leste	WBDI
Togo	IMF GFSY CD and IMF Online Version
Trinidad and Tobago	Central Bank of Trinidad and Tobago
Tunisia	IMF GFSY CD and IMF Online Version
Turkey	IMF GFSY CD and OECD
Turkmenistan	IMF GFSY CD and IMF Online Version
Uganda	IMF GFSY CD and IMF Online Version
Ukraine	IMF GFSY CD and IMF Online Version
United Arab Emirates	IMF GFSY CD and World Bank Development Indicators
United Kingdom	IMF GFSY CD and IMF Online Version
United States	OECD
Uruguay	IMF GFSY CD and IMF Online Version
Uzbekistan	IMF GFSY CD and IMF Online Version
Venezuela	IMF GFSY CD and Gobierno Central Presupuestario de Venezuela
Vietnam	IMF GFSY CD and IMF Online Version
Yemen	IMF GFSY CD and IMF Online Version
Yugoslavia	IMF GFSY CD and IMF Online Version
Zambia	IMF GFSY CD, Zambian Central Bank and IMF Online Version
Zimbabwe	Global Development Network Growth Database and IMF Online Version

icrg_qog: Indicator of Quality of Government. This is the average of the Corruption, Law and Order, and Bureaucracy indexes. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute.
<http://www.qog.pol.gu.se>

Taken by this source from Political Risk Services:

Howell, Llewellyn. 1998. The handbook of country and political risk analysis. Syracuse, NY: The Political Risk Services Group.
<https://www.prsgroup.com/about-us/our-two-methodologies/icrg>

INTERACTION1: This is the interaction between the one year lag of Directed_Credit and the one year lag of icrg_qog. See above for the definitions and sources for each of the constituent terms.

wdi_oilrent: this is the value of crude oil production (world prices) - production costs. In percent of GDP. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute. Taken by this source from the WBDI.

wdi_gdpgr: this is the growth rate in % of GDP in 2005 dollars. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute. Taken by this source from the WBDI.

wdi_cgovd: this is Total domestic and foreign stock of central govt. liabilities % GDP. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute. Taken by this source from the WBDI.

wdi_fdiin: this is Net inflows of Foreign Direct Investment % GDP. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute. Taken by this source from the WBDI.

h_f: this is a binary variable for whether there are independent Sub-federal Units with fiscal power. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute. Taken by this source from Henisz (2014):

W. J. Henisz. 2000. The institutional environment for multinational investment. *Journal of Law, Economics, and Organization* 16(2): 334-364 (dataset updated in 2014).

<http://mgmt5.wharton.upenn.edu/henisz/POLCON/ContactInfo.html>

p_polity2: this is an ordinal variable that is the combination of Democracy and Autocracy Scores. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute. Taken by this source from Marshall and Jaggers (2008):

M. G. Marshall, T. R. Jaggers, and K. Gurr. 2008. Polity IV Project: Political regime characteristics and transitions, 1800-2012 (updated in 2013).

<http://www.systemicpeace.org/polity/polity4.htm>

wdi_merchtrade: this is Merchandise exports + imports % GDP. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute. Taken by this source from the WBDI.

wdi_manvagdp: this is Value Added in Manufacturing % GDP. Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute. Taken by this source from the WBDI.

entrybarriers: this measures entry barriers to the financial system. This is an ordinal index that runs from 0 to 3; higher values denote fewer barriers to entry. Source: Abdul Abiad, Enrica Detragiache, and Thierry Tresselt. 2008. "A New Database of Financial Reforms." Washington, D.C.: IMF.

<http://www.imf.org/external/pubs/cat/longres.aspx?sk=22485.0>

INTERACTION2: This is the interaction between the one year lag of Entry_Barriers and the one year lag of icrg_qog. See above for the definitions and sources for each of the constituent terms.

inflationavgindex: is an index, with 2005 = 100, of the Average Consumer Price Inflation over the calendar year. Source: Beck, Demirgüç-Kunt and Levine (2013). "Financial Structure and Development Dataset"

assassinations: Political Assassinations, is, according to Banks, "any politically motivated murder or attempted murder of a high government official or politician." Source: Banks, Arthur. 2009. "Cross-National Time-Series Data Archive." SUNY Binghamton.

<http://www.cntsdata.com/#!the-data/cvpa>

assassinations_64_76: the number of political assassinations that occurred between 1964 and 1976. Source: Banks, Arthur. 2009. "Cross-National Time-Series Data Archive." SUNY Binghamton.

assassinations_51-63: the number of political assassinations that occurred between 1951 and 1963. Source: Banks, Arthur. 2009. "Cross-National Time-Series Data Archive." SUNY Binghamton.

NOT_SOVEREIGN_YET5: a way to truncate the dataset to observe only countries that were sovereign starting in 1964. Used for appendix regressions in which state capacity is instrumented with political assassinations between 1964 and 1976. Coded by the author.

NOT_SOVEREIGN_YET3: a way to truncate the dataset to observe only countries that were sovereign starting in 1951. Used for appendix regressions in which state capacity is instrumented with political assassinations between 1951 and 1963. Coded by the author.

ht_region: dummy variables that demarcate different regions of the world. Used in regressions in appendix in which region fixed effects are estimated. From the original source: "This is a tenfold

politico-geographic classification of world regions, based on a mixture of two considerations: geographical proximity (with the partial exception of category 5 below) and demarcation by area specialists having contributed to a regional understanding of democratization. The categories are as follow:

- (1) Eastern Europe and post Soviet Union (including Central Asia)
- (2) Latin America (including Cuba, Haiti & the Dominican Republic)
- (3) North Africa & the Middle East (including Israel, Turkey & Cyprus)
- (4) Sub-Saharan Africa
- (5) Western Europe and North America (including Australia & New Zealand)
- (6) East Asia (including Japan & Mongolia)
- (7) South-East Asia
- (8) South Asia
- (9) The Pacific (excluding Australia & New Zealand)
- (10) The Caribbean (including Belize, Guyana & Suriname, but excluding Cuba, Haiti & the Dominican Republic)."

Source: Teorell, Jan, Stefan Dahlberg, Sören Holmberg, Bo Rothstein, Felix Hartmann & Richard Svensson. 2015. The Quality of Government Standard Dataset, version Jan15. University of Gothenburg: The Quality of Government Institute.

Taken by this source from Hadenius, A. and Teorell, J. 2005. "Assessing Alternative Indices of Democracy", C&M Working Papers 6, IPSA, August 2005
http://www.conceptsmethods.org/working_papers/20050812_16_PC%206%20Hadenius%20&%20Teorell.pdf